

Infosys Financial Analyst Report

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Question

Write me a one-page report explaining the FY26 margin trajectory and what management attributed it to.

Answer

Operating Margin Trend for Infosys Throughout FY26

Executive Summary

Infosys's operating margin trend throughout FY26 was characterized by fluctuations, with a high of 21.2% in Q3 FY26 (Adjusted non-IFRS) and a low of 18.4% in Q3 FY26 (Reported IFRS). Management attributed the trend to various factors, including the implementation of Project Maximus, which enabled savings to be invested in strategic areas like talent, AI, and sales & marketing.

Revenue and Operating Margin Trend

Quarter	Revenue (M)	Operating Margin (Reported IFRS)	Operating Margin (Adjusted non-IFRS)
Q1 FY26	\$4,941 [Q1 FY26 Press Release Page 1]	20.3% [Q4 FY26 Press Release Page 1]	-
Q2 FY26	\$5,076 [Q2 FY26 Press Release Page 1]	20.0% [Q3 FY26 Press Release Page 1]	21.2% [Q3 FY26 Press Release Page 1]
Q3 FY26	\$5,018 [Q3 FY26 Press Release Page 1]	18.4% [Q3 FY26 Press Release Page 1]	21.2% [Q3 FY26 Press Release Page 1]
Q4 FY26	\$5,018 [Q4 FY26 Press Release Page 1]	20.3% [Q4 FY26 Press Release Page 1]	21.0% [Q4 FY26 Press Release Page 8]

Factors Affecting the Trend

Management attributed the operating margin trend to various factors, including:

- * Implementation of Project Maximus, which enabled savings to be invested in strategic areas like talent, AI, and sales & marketing [Q4 FY26 Press Release | Page 2]
- * Value-Based Selling, which helped to align pricing with the value received by clients [Annual Report FY25 | Page 73]
- * Lean and Automation, which combined productivity and process improvement using automation technologies, including generative AI [Annual Report FY25 | Page 73]

Key Takeaways

- * Infosys's operating margin trend throughout FY26 was characterized by fluctuations, with a high of 21.2% in Q3 FY26 (Adjusted non-IFRS) and a low of 18.4% in Q3 FY26 (Reported IFRS).
- * Management attributed the trend to various factors, including the implementation of Project Maximus and the implementation of Value-Based Selling and Lean and Automation initiatives.
- * The company's revenue growth in constant currency terms was 2.9% in Q2 FY26 and 1.7% in Q3 FY26 [Q2 FY26 Press Release | Page 1] and [Q3 FY26 Press Release | Page 1].
- * The company's free cash flow generation was robust, with \$1,101 million in Q2 FY26 and \$915 million in Q3 FY26 [Q2 FY26 Press Release | Page 1] and [Q3 FY26 Press Release | Page 1].

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Sources

Annual Report FY25 — Page 76 (relevance: 0.707)

Management's discussion and analysis The Company has identified the following ratios as Ratios where there has been a significant change from fiscal key financial ratios: 2024 to fiscal 2025 Revenue g...

Q1 FY26 Press Release — Page 1 (relevance: 0.693)

IFRS – USD IFRS – USD Press Release Press Release 1\ e Industry-leading Sequential Growth of 2.6% in CC, Driven by Differentiated Value Proposition in Enterprise AI Large Deal Wins at \$3.8 Billion wit...

Q3 FY26 Press Release — Page 1 (relevance: 0.684)

ion", said Salil Parekh, CEO and MD. "Central to this journey is our commitment to reskill, transform and empower our dedicated human resource pool to drive success in an AI augmented world" he added....

Q2 FY26 Press Release — Page 1 (relevance: 0.681)

IFRISF R–S U –S UDS D PresPsr eRsse lReealseea se 1\ e Quarterly revenue crosses \$5 bn mark; Second consecutive quarter of strong performance Revenue growth of 2.2% sequentially in Q2 and 3.3% in H1 i...

Q4 FY26 Press Release — Page 1 (relevance: 0.678)

lue from AI", said Salil Parekh, CEO and MD. "Our AI First value framework and differentiated Topaz Fabric, position us uniquely to deepen client trust and gain greater share of the market", he added...

Annual Report FY25 — Page 73 (relevance: 0.656)

imus, a comprehensive margin expansion program structured across five pillars – Value-Based Selling; Efficient Pyramid; Lean and Automation; Improving Critical Portfolios, and Reducing Indirect Costs....

Q4 FY26 Press Release — Page 2 (relevance: 0.653)

IFRS – USD Press Release "FY 26 was a year of disciplined execution and financial resilience reflecting in 21% adjusted operating margin and healthy free cash flow of \$3.7 billion. Savings from Projec...